Economics

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Flat Top: Stall in December Sales Caps Decent Season for Retailers

Economic Indicator

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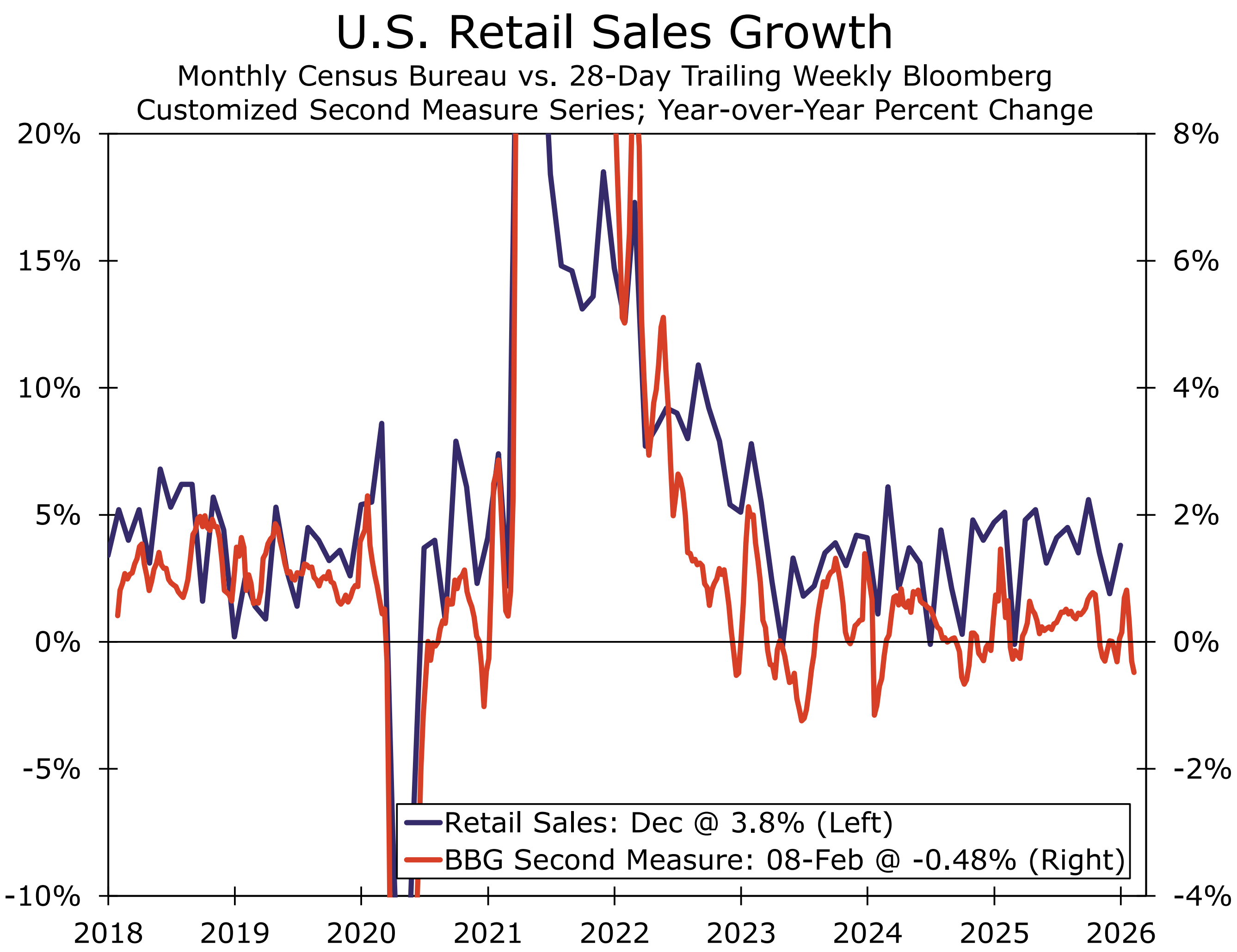
Summary

It was not a "December to remember" for retailers who reported no change in sales. Control group sales actually fell slightly during the month even as prior monthly gains were revised lower.

We unpack how the holiday season ended on a such a soft note even though it turns out, overall holiday sales (ex autos, gas and restaurants) rose 3.6% in November and December compared to the year prior. While that is slightly lower than where sales were tracking in recent months due to some downward revisions, it's in line with our forecast from back in October when we were cautioning of a weak year-end.

The weakness in this report reflects mostly goods spending in just one month, it does not de-rail our expectation for sustained consumer spending into 2026.



Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

Wrong December and There's Reason to Believe

Retail spending stalled in December, prior gains were revised down and yet our take on the consumer is not materially impacted, here's why:

Since our annual holiday sales forecast went out in October, we have been flagging the potential for sales to stall in December. This is primarily due to:

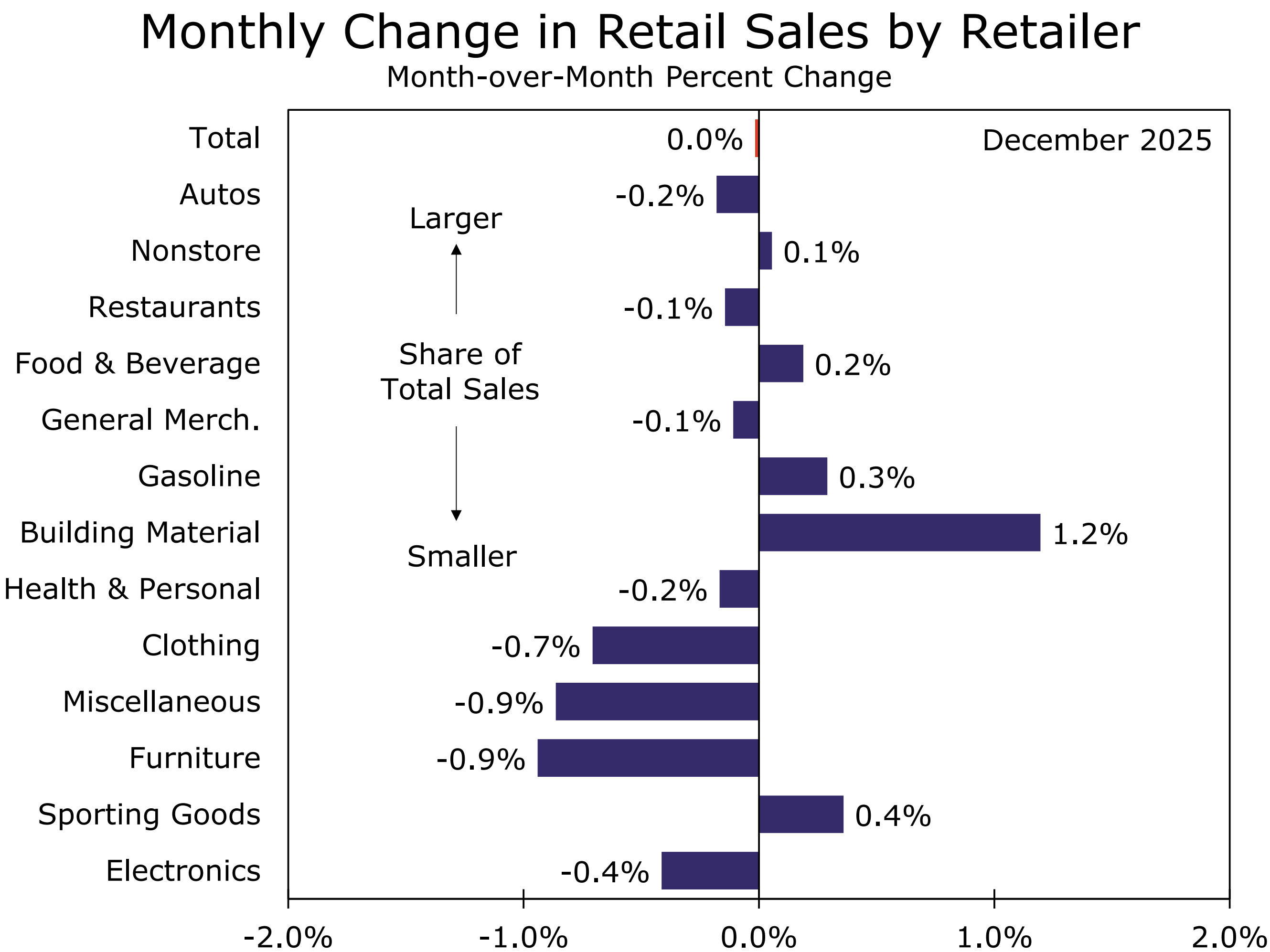
1. Pull-forward in sales: tariffs, Prime day sales, etc.

2. Prevalence of gift cards at Christmas amid high prices, which are counted when redeemed, not purchased.

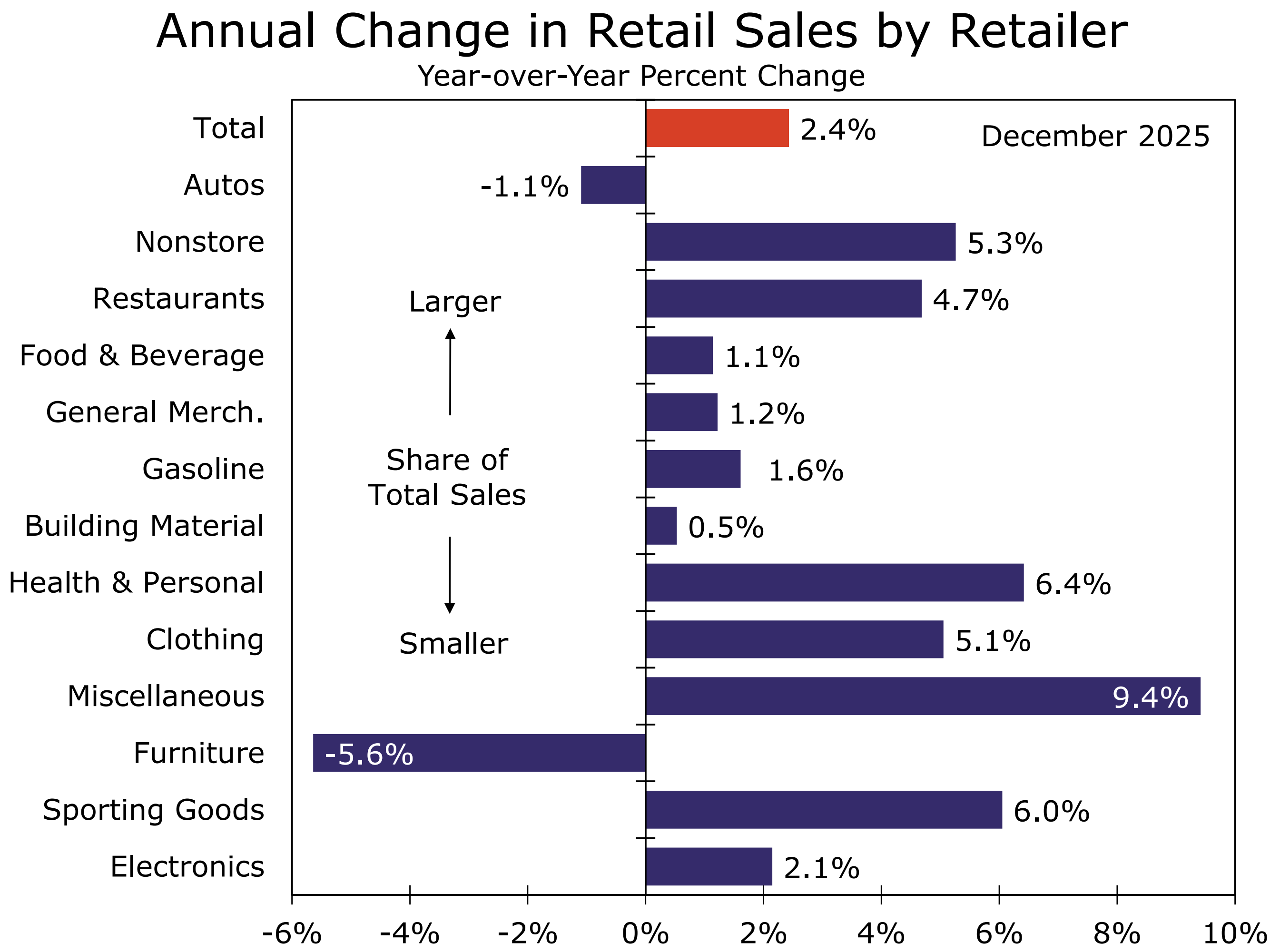
3. Drop-off in high frequency credit-card data (see chart).

So today's 0.0% headline and 0.0% ex-autos sales estimates, are lower than we expected, but not at all shocking.

Control group sales (ex autos, gas, building materials and restaurants) fell 0.1% and the initially reported 0.4% gain for this category last month was halved in the revision to a more modest 0.2% pickup. The softer footing for goods spending does cast a shadow over our forecast for Q4 consumer spending, but recall that the November personal income and spending report was stronger than expected, boosting our expectations. So long as services spending momentum holds, we are not rushing to mark down our estimates for Q4 or materially changing our thinking on the U.S. consumer despite today's decidedly downbeat report.



Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics

Retail performance has ultimately been broadly positive over the past year, despite some mixed results in December (chart). All but two retailers posted sales gains over the past year: autos (-1%) and furniture (-6%) (chart). Overall control group sales are still running at a 3.5% annual rate, which is just below the pre-pandemic prior-cycle average of 3.7%.

The retail category posting the best year-ago gain is miscellaneous store sales, which are up almost 10% over the past year. The reasoning behind the bump is less obscure than its name, as this category is a hodgepodge of store-types including florists, gift stores, used merchandise, pet stores and other niche retailers. It thus acts as a bit of a catch-all for some smaller discretionary purchases, where households have been continuing to allocate dollars and signals that households are still comfortable spending money.

It turns out, overall holiday sales (ex autos, gas and restaurants), rose 3.6% in November and December compared to the year prior. While that is slightly lower than where sales were tracking in recent months due to some downward revisions, it's in line with our forecast from back in October when we were cautioning of a weak year-end. The key point here is, a weak end isn't necessarily indicative of the start of a new consumer trend. Here is how we said it back then; "*A final point about the final month: December is not as special as it used to be. Tariff fears likely encouraged consumers to buy early, buoying the secular trend that's come with the immediacy of online purchases which has spread sales more evenly throughout the year*."

The latest data ultimately suggest households are still broadly spending in the face of sustained and compounding inflation and an uncomfortable moderation in the jobs market. We expect consumer spending to be sustained this year as higher after-tax incomes and average tax refunds as part of the *One Big Beautiful Bill Act* help *offset* some of these household constraints.

U.S. Retail Sales: December 2026

	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25
Retail Sales (MoM)	-0.8	0.0	1.5	-0.1	-0.8	1.0	0.6	0.5	0.1	-0.2	0.6	**0.0**
Retail Sales, Ex. Autos (MoM)	-0.4	0.4	0.6	0.0	-0.1	0.9	0.4	0.6	0.1	0.2	0.4	**0.0**
Control Group Sales (MoM)	-0.5	0.8	0.5	-0.2	0.3	0.9	0.5	0.7	-0.2	0.5	0.1	**-0.1**
Real Retail Sales (MoM)	-1.3	-0.1	2.0	-0.1	-0.7	0.6	0.7	0.1	-0.5	--	--	**-0.3**
Retail Sales (YoY)	4.6	3.9	5.1	5.0	3.4	4.4	4.1	5.0	4.1	3.2	3.3	**2.4**
Retail Sales, Ex. Autos (YoY)	4.4	4.3	4.2	4.1	3.7	4.0	4.0	4.8	3.8	3.7	4.2	**3.3**
Control Group Sales (YoY)	5.0	5.7	5.4	5.2	4.9	4.7	5.0	5.9	4.1	4.6	4.7	**3.5**
Real Retail Sales (YoY)	3.8	3.3	5.0	5.1	3.3	3.7	3.3	3.6	2.2	--	1.4	**0.9**

Notes: MoM = Month-over-Month Percent Change
YoY = Year-over-Year Percent Change

Source: U.S. Department of Commerce and Wells Fargo Economics

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